

Introduction



Wall Street. The phrase alone conjures up a spectrum of words and images, from wise investing to reckless gambling, from power deals to pots of gold, from venerable legends like Warren Buffett to infamous traders like Michael Milken. But legends and allure aside, most of us, in some way, are connected to Wall Street and the phrenetic world of investing. Whether we be professional money managers, do-it-yourself investors, or simply are vested in a 401(k) plan, a chunk of our personal money is in securities. That's why even amateurs must be not only Wall Street literate, but savvy as to what they have invested in and why. The need to be a superb student extends to the pros, too—just ask Warren Buffett, who studied religiously under Benjamin Graham.

But why do we need such an edge? Because, ever since the day the French aristocracy first started trading forward contracts for commodities in the twelfth century, every broker, trader, and investor has looked for that advantage to buy cheap and sell dear—and sometimes that means blindsiding the sucker. As the notorious stock manipulator Daniel Drew allegedly said, “To speckilate as an outsider is like trying to drive black pigs in the dark.” Not that insiders are guaranteed success, according to Peter Lynch, who wrote in *One Up*